

NVIDIA Corporation

NVDA NASDAQ

Buy

\$205.09 ▲ 0.89%

12M Price Target
\$240.00

52-Week Range
\$164.07 – \$236.54

Market Cap
\$4.97T

NVDA: Chips Bounce Back as Export Rules Soften

WHAT HAPPENED

- NVDA bouncing +0.89% today after a rough week (down from \$212 to \$203 earlier) — the whole chip complex is reviving, with AMD, Micron, and SK Hynix all climbing yesterday. This looks like a relief rally after semis got hit hard on the OpenAI ad revenue miss story that's rattling the "AI trade" narrative.
- Volume today is notably light (25M vs 100M+ recently) — that tells me this is a technical bounce, not fresh conviction buying. The real test comes when volume returns.

WHY IT MATTERS

The OpenAI ad revenue miss (90% below their own forecast) is the elephant in the room — it's the first real crack in the "AI will monetize everything" story that's been propping up NVDA's multiple. Here's what it MEANS: if AI application-layer companies can't turn compute into revenue, hyperscalers (Microsoft, Google, Meta, Amazon) will eventually slow their GPU orders — and those four customers are roughly 40% of NVDA's revenue. That said, options flow is interesting — heavy call buying at \$207.50 alongside heavy put buying at \$205 suggests traders are positioning for a big move either way around earnings. The setup: NVDA needs to show data center growth is still ripping to reset the narrative that the AI monetization problem is a customer problem, not a chipmaker problem.

POLICY & POLITICAL WATCH

The big one right now is the ongoing US-China chip export framework — the Trump administration walked back some of the strictest Biden-era restrictions earlier this year, allowing NVDA to resume H20 chip sales to China (worth roughly \$15-20B annually). Watch for any escalation in trade rhetoric this week; any reversal here directly hits NVDA's China revenue line. Also on deck: the CHIPS Act 2.0 discussions in Congress around expanding domestic AI infrastructure grants — if it advances, it's a tailwind for NVDA's US data center customers, who use those grants to buy more GPUs.

IS IT EXPENSIVE?

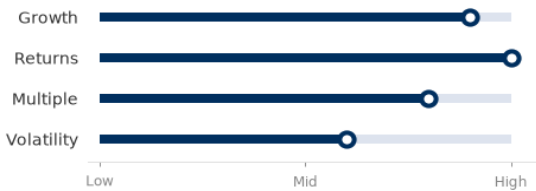
At ~35x forward earnings on a \$4.97T market cap, investors are paying \$35 for every \$1 of profit NVDA is expected to earn next year — expensive on absolute terms, but actually reasonable given they're growing earnings 40%+ annually. The PEG ratio (price vs. growth rate) is under 1, which is historically cheap for a company this dominant. The bigger question isn't "is it expensive" — it's "can they sustain 40% growth for another 2 years?" If yes, the stock is a bargain. If growth slows to 20%, the multiple compresses fast.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$205.09
12M Price Target	\$240.00
Upside / (Downside)	+17.0%
Market Cap	\$4.97T
FY2027E Revenue	\$235M
FY2028E Revenue	\$295M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.40
Fwd P/E	35.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$225.00	\$212.00	\$195.00
6 Months	\$260.00	\$235.00	\$180.00
1 Year	\$290.00	\$240.00	\$170.00
2 Years	\$340.00	\$275.00	\$160.00
5 Years	\$500.00	\$350.00	\$180.00
10 Years	\$800.00	\$500.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech broadly (+1.76% today) is reviving after last week's selloff, with semis leading the bounce. Energy (+1.98% over 5 days) is quietly the strongest sector — likely tied to AI data center power demand narrative gaining traction in DC.

COOLING OFF: Consumer Discretionary and Materials both weak over 5 days — classic late-cycle behavior when investors worry about consumer spending.

ROTATION WATCH: Money is rotating BACK into AI/semis after a brief scare, but the light volume tells me institutions are still on the sidelines waiting for earnings clarity. This is a traders' bounce, not a conviction move.

RELATED PLAY: If NVDA runs, the power infrastructure names (Vistra, Constellation, GE Vernova) are the second-derivative play — every GPU NVDA sells needs 3-5x more power capacity than it did five years ago.

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): Winning as the "credible #2" narrative gains steam — their MI400 chips are landing at hyperscalers who want to diversify away from NVDA dependency.
- AVGO (Broadcom): Custom silicon partnerships with Google and Meta are printing money — they're the picks-and-shovels play on hyperscaler custom chip designs.

NVDA CONTEXT: NVDA is roughly in line with the semi group today but lagging AMD and Broadcom over the past month — that's worth watching. When the dominant player lags the challengers, it usually means market share concerns are quietly building. Not panic-level yet, but a signal.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Still the best-positioned company in the most important tech shift in a generation, but the risk/reward has narrowed as the stock has run.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a 30% drawdown doesn't wreck your year.

ENTRY POINTS: Add on pullbacks to \$195-205 (where we are now is fine); I'd hold off chasing above \$220 until earnings.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is next earnings (early August) and Q3 guidance. That's the moment truth on whether the AI capex cycle is still accelerating.

WHEN TO BAIL: If data center revenue growth drops below 20% YoY OR if two hyperscalers cut capex guidance in the same quarter, I'm trimming hard.

HEDGING: Simplest hedge — own less of it than you're tempted to. If you want real protection, buy protective puts on the semi ETF (SOXX) — cheaper than NVDA puts and covers you against a sector-wide selloff.